

was enough to reverse the ascent of interest rates and commodity prices. This transformation set the stage for three major financial events: (1) a 12-year advance in the bond market, (2) a blowoff, region by region, of the long running rise in real estate, and (3) an acceleration in the stock market boom that A.J. Frost and I had forecast in our 1978 book, *Elliott Wave Principle*. Despite decade after decade of forecasting success, the Wave Principle is ignored by most financial professionals. Why is that?

Several years ago, a friend gave me a copy of a study by a university professor of psychology. It went like this: In one room, a number of students were told to write an essay explaining why either the Zulus or the British would win a war that had presumably taken place in the 1800s in Africa. The students were given a list of the strengths and weaknesses of each side. The list had been constructed to make the two forces appear equally matched. In several trials, the number of essays supporting each side was about the same. Then one variable was introduced: The students were told that the Zulus had won the war. They were then instructed to *ignore that historical fact*, to write their essays on the balance of the adversaries' strengths and weaknesses alone. As you might guess, over 80% of the essays argued that the Zulus obviously had the superior force. After-the-fact knowledge colors one's view of the past so as to make any course of events appear inevitable, as if forecasting them was no trick at all.

It is impossible for most people to appreciate retrospectively the value of having a tool that provided the perspective necessary to understand the huge potential of the market in 1982, as the Wave Principle did. Calling for the Dow to rise 3000 points from the 900 level was a dramatic prediction, yet *The Elliott Wave Theorist* gave the reasons for it to happen, quite without the benefit of hindsight. Today, people think a Dow in the 4000s is perfectly normal, and wonder why anyone would have doubted the prediction. The human trait that our professor discovered robs accurate forecasts of their due in the minds of most people. *After* an event, it always seems "normal," if not "obvious" to most people that it should have occurred. This human trait keeps people from ever bothering to investigate scientifically the few approaches to anticipating the future that actually work.

As valuable as that recognition of a major change in the early 1980s was to investors, it is well to keep in mind that wave analysts have been wrong on markets at times, sometimes very wrong. A few